

Statements of profit or loss and other comprehensive income for the year ended 30 September 20X5	Alpha	Beta
	\$'000	\$'000
Revenue (exhibit 3)	290,000	240,000
Cost of sales (exhibits 2-3)	-130,500	-132,000
Gross profit	159,500	108,000
Other income (exhibits 2-4)	20,000	Nil
Distribution costs	-15,000	-12,000
Administrative expenses	-55,000	-50,000
Finance costs	-30,000	-28,000
Other expenses (exhibit 4)	-1,000	Nil
Profit before tax	78,500	18,000
Income tax expense (exhibit 2)	-15,000	-4,000
Profit for the year	63,500	14,000
Other comprehensive income:		
Items which may be reclassified subsequently to profit or loss:		
Cash flow hedges (exhibit 4)	18,000	Nil
Total comprehensive income for the year	81,500	14,000

Note 1 Alpha Investment in Beta

On 1 October 20X4, Alpha made a cash payment of \$185 million to purchase 48 million of Beta's 60 million issued equity shares and gain control of Beta.

On 1 October 20X4, the net assets of Beta as shown in the individual financial statements of Beta totalled \$180 million. The fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of:

- (i) Property, plant and equipment (PPE) which had a fair value of \$18 million in excess of its carrying amount in the financial statements of Beta. On 1 October 20X4, the useful life of this PPE was six years.
- (ii) An internally developed patent relating to one of Beta's products which had a fair value of \$20 million on 1 October 20X4. On 1 October 20X4, the useful life of this internally developed patent was ten years.
- (iii) Inventory which had a fair value of \$1.5 million in excess of its carrying amount in the financial statements of Beta. All this inventory was disposed of in the year ended 30 September 20X5.

The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The relevant rate of income tax to use for this purpose is 20%.

On 1 October 20X4, the directors of Alpha measured the non-controlling interest in Beta based on Alpha's proportionate share of the net assets of Beta at the date of acquisition.

On 1 July 20X5, Beta paid a dividend of \$10 million. Alpha included its share of this dividend in 'other income' in its own individual financial statements.

On 30 September 20X5, the directors of Alpha tested the goodwill on acquisition of Beta for impairment as required by IAS 36 – *Impairment of Assets*. The directors decided that Beta represented a single cash-generating unit for this purpose and that its recoverable amount at 30 September 20X5 was \$225 million.

All depreciation, amortisation and impairment charges are made to cost of sales.

Notes 2 Intra Group - Trading

Since 1 October 20X4, Alpha has been supplying Beta with a product (product X). Alpha makes a profit of 25% on the invoiced price for these supplies of product X. During the year ended 30 September 20X5, Alpha sold \$20 million of product X to Beta and invoiced Beta for this amount. At 30 September 20X5, the inventories of Beta included \$3.2 million of product X purchased from Alpha. Since 1 October 20X4, Alpha has been providing Beta with administrative services. Alpha charged Beta a total of \$6 million for these services during the year ended 30 September 20X5. Alpha recognised this amount in 'other income' and Beta recognised the amount as an administrative expense.

Note 3 Alpha Hedging Transaction

Alpha uses cash flow hedge accounting for its hedging transactions whenever the relevant criteria set out in IFRS 9 – *Financial Instruments* – are met. Alpha recognises any hedge ineffectiveness in other income or other expenses as appropriate.

On 1 September 20X5, Alpha entered into two firm commitments to purchase products from overseas suppliers in the year ended 30 September 20X6. The first commitment to purchase products was for delivery on 1 November 20X5 (Contract A) and the second for delivery on 1 December 20X5 (Contract B). Alpha entered into two separate derivative contracts to hedge the currency risk associated with these firm commitments. Both of these contracts meet the required IFRS 9 criteria to enable hedge accounting to be used. The financial statements of Alpha for the year ended 30 September 20X5 include \$18 million relating to other cash flow hedges but do not contain any amounts in respect of either the fair values of the firm future commitments or the fair values of the hedging derivatives for Contract A or B. You are given the following details concerning the fair values at 30 September 20X5:

	Commitment for delivery on:	
	1 November 20X5 (Contract A)	1 December 20X5 (Contract B)
	\$'000	\$'000
Future commitment – increase in fair value at 30 September 20X5	5,500	6,000
Derivative contract – positive fair value at 30 September 20X5	5,600	5,800

Required

Using exhibits 1 - 4, prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 30 September 20X5. Unless specifically referred to in the exhibits you should ignore deferred tax.

Note: Explanations of consolidation procedures are not required.

(25 marks)

Question 2

You are the financial controller of Gamma. You report to the finance director. One of your key roles is to prepare the draft consolidated financial statements for approval by the board. Gamma prepares consolidated financial statements to 30 September each year. Gamma has a number of subsidiaries who operate in a number of different business sectors.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Disposal of subsidiary – details of a disposal during the year ended 30 September 20X5.
2. Construction of power plant – details of the power generating plant constructed during the year ended 30 September 20X5, and your discussion with the finance director of Gamma.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Exhibit 1 Disposal of Subsidiary:

On 31 May 20X5, Gamma disposed of its 75% holding in subsidiary A for \$75 million. Gamma acquired these shares many years ago for a cash consideration of \$40 million. Subsidiary A operates in a market sector which is different from that of the rest of the Gamma group. Its disposal was the result of a strategic decision by the directors of Gamma that the group should withdraw from that particular sector.

When Gamma purchased the shares in subsidiary A, the net assets of subsidiary A had a fair value of \$48 million. None of the assets and liabilities of subsidiary A which were measured in the initial fair value exercise undertaken at the date of subsidiary A's acquisition were included in the financial statements of subsidiary A at 30 September 20X4.

When Gamma acquired its controlling interest in subsidiary A, the directors elected to measure the non-controlling interest in subsidiary A at its fair value of \$13 million at the date of acquisition. No impairment of the goodwill on acquisition of subsidiary A has ever been necessary.

On 1 October 20X4, the net assets of subsidiary A had a total carrying amount of \$62 million. During the year ended 30 September 20X5, subsidiary A made a post-tax profit of \$6.6 million. This profit accrued evenly over the year. Subsidiary A had no other comprehensive income. Subsidiary A paid a dividend of \$3.6 million on 31 March 20X5. This was the only dividend paid by subsidiary A during the year ended 30 September 20X5.

Gamma incurred an income tax liability of \$7 million on the disposal of the shares in subsidiary A.

Exhibit 2 Construction of Power Plant:

On 1 November 20X4, Gamma commenced the construction of a power plant. The total cost of constructing the power plant was \$30 million. Gamma completed the construction of the power plant on 28 February 20X5 and began to use the power plant on 31 March 20X5. The estimated useful life of the power plant is 20 years from the date it is first depreciated.

The construction of the power plant caused a certain amount of environmental damage. The directors of Gamma estimate that, should the damage be rectified at the end of the useful life of the power plant, the cost of this rectification work would be \$20 million. There are no legal requirements for such work to be carried out in the jurisdiction in which Gamma operates. However, in the past whenever Gamma has caused environmental damage by its business processes, the company has always rectified the damage, whether or not legally required to do so.

An appropriate discount rate to use in any discounting calculations is 8% per annum. Using this rate at 28 February 20X5, the present value of \$1 payable in 20 years' time is approximately 21 cents.

The finance director has discussed the preparation of the financial statements with you. He has requested you not to include any of the implications of the environmental damage in the financial statements for the year ended 30 September 20X5. He has stated that Gamma plans on paying a profit-related bonus to all employees for the year ended 30 September 20X5. He said to you, 'I feel sure you agree with me that we need to report as healthy a profit as possible to ensure our efforts are rewarded with an appropriate bonus.'

Required

(a) Using the information in exhibits 1 and 2, explain and show how the following events would be reported in the consolidated financial statements of Gamma for the year ended 30 September 20X5:

(i) Disposal of subsidiary.

(12 marks)

(ii) Construction of power plant.

(9 marks)

Note:

- Marks will be awarded for BOTH figures AND explanations.
- In this part of the question you should IGNORE the implications of your discussion with the finance director.

(b) Using the information in exhibit 2, identify and explain the ethical threats you face as a result of your discussion with the finance director. Your explanation should refer to relevant fundamental ethical principles.

(4 marks)

Question 3

Delta prepares financial statements to 30 September each year, and operates in a number of different business sectors.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Sale of a machine – details of the sale of a machine with a repair and maintenance service.
2. Sale and leaseback – details of the sale and leaseback of a factory.

This information should be used to answer the question **requirement** within your chosen **response option(s)**.

Exhibit 1 Sale of Machine:

On 1 April 20X5, Delta sold a machine to a customer. The machine was manufactured by Delta in March 20X5 and then included in Delta's inventories at its cost price of \$250,000. The machine was delivered to the customer on 1 April 20X5. As well as providing the machine, Delta also agreed to provide the customer with a maintenance and repair service of the machine for three years from the date of sale. Delta regularly provides maintenance and repair services on a 'stand-alone' basis to other customers. The total price payable by the customer for both the machine and the maintenance and repair service was \$500,000. The customer paid this amount on 31 May 20X5. The normal stand-alone selling price of the machine at 1 April 20X5 was \$420,000. The normal stand-alone selling price for a three-year repair and maintenance contract for such a machine at 1 April 20X5 was \$180,000.

On 1 September 20X5, the machine developed a major fault and Delta carried out repairs on the machine during September 20X5 costing a total of \$30,000. Following these repairs, the directors of Delta reviewed the condition of the machine and estimated that:

- (i) They would need to carry out further repairs to the machine in the future.
- (ii) The total additional cost of repairs to the machine between 1 October 20X5 and the end of the three-year maintenance and service period would be \$155,000.
- (iii) These repairs would occur evenly over the remaining term of the contract.

You can ignore the time value of money when preparing your answer to exhibit 1.

(14 marks)

Exhibit 2 Sale and Lease Back

On 1 October 20X4, Delta sold a factory to company X for \$30 million, its fair value at that date. The factory was included in the property, plant and equipment of Delta at a carrying amount of \$20 million. On 1 October 20X4, Delta entered into an agreement with X to lease the factory for a ten-year period. There was no provision in the lease to extend the lease beyond this non-cancellable period. The estimated useful life of the factory on 1 October 20X4 was 30 years.

Under the terms of the lease, Delta was required to make ten annual lease payments of \$2 million, the first payment being due on 30 September 20X5. The rate of interest implicit in the lease was 8% per annum and the present value of the lease payments was \$13.42 million. The payment due on 30 September 20X5 was made on the due date.

(11 marks)

Required

Using the information in exhibits 1 and 2, explain and compute the amounts which would be recognised by Delta in its financial statements for the year ended 30 September 20X5 and state where in these financial statements they should be presented. Marks will be awarded for BOTH figures AND explanations.

Note: The mark allocations are indicated against each exhibit.

(25 marks)

Question 4

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Your managing director has recently returned from a seminar which discussed a wide range of business issues. Some of these issues related to the preparation of the financial statements. The managing director has prepared a list of questions for you which have arisen as a result of her attendance at the seminar.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Conceptual Framework – details of a question from the managing director relating to the Conceptual Framework for Financial Reporting.
2. Brand names – details of a question regarding the inclusion of brand names in the statement of financial position.
3. Segment reports – a query from the managing director regarding the consistency of segment reports when compared with a competitor.

This information should be used to answer the question **requirement** within the **response option** provided.

Exhibit 1 Conceptual Frame Work:

One of the presenters at the seminar I attended was explaining the work of the International Accounting Standards Board (the Board). From time to time she referred to the *Conceptual Framework for Financial Reporting*. I thought the Board set individual international financial reporting standards (IFRS Standards) to deal with specific issues of financial reporting. What is this '*Conceptual Framework*' and how does it relate to individual IFRS standards issued by the Board? I don't want a detailed description of this *Conceptual Framework* but rather a very brief overview of its content and purpose and how it fits into the overall financial reporting process.

(8 marks)

Exhibit 2 Brand Names:

One of the topics covered during the seminar was a discussion on whether brand names should be included as assets in the financial statements. I looked at our consolidated financial statements and noticed the disclosure note for intangible assets included a separate heading 'Brands'. The finance director has provided me with an analysis of this figure, and it all relates to brands acquired through the acquisition of subsidiaries. However, the Omega brand name itself was not included at all. Surely this is inconsistent – the Omega brand name is associated with well known and popular products developed by Omega. This brand name is probably as valuable as the brand names associated with the subsidiaries we've acquired in recent years. I thought financial statements had to be consistent in their treatment of items. Please explain this apparent inconsistency to me. Please also explain how brand names which are recognised on acquisition are measured and whether they should be amortised.

(11 marks)

Exhibit 3 Segment Reporting:

The seminar referred to the need for companies to provide information about the financial performance and financial position of different segments of their business in a note to their financial statements. They provided an example of the disclosures provided by a listed entity of a similar size to Omega. On returning from the seminar, I compared the segmental disclosures we had been shown with the segmental disclosures which Omega makes. The way Omega identifies and discloses segmental information was totally different from the seminar example. How can this be right – I thought financial statements needed to be prepared on a consistent basis?

I also looked at the financial statements of one of our key competitors. This competitor is an unlisted family run business which has grown very rapidly and is now not much smaller in size than the Omega group. They operate in the same economic sectors as we do. However, their financial statements make no segmental disclosures. Please explain how not applying the segmental reporting requirements is acceptable when this company is preparing the financial statements using IFRS Standards.

(6 marks)

Required

Provide answers to the questions asked by the managing director in exhibits 1 - 3. You should justify your answers with reference to relevant International Financial Reporting Standards.

Note: The mark allocations are indicated against each exhibit.

(25 marks)

Answers

		Marks
1 Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 30 September 20X5		
[NB: all figures below in \$'000]		
	\$'000	
Revenue (290,000 + 240,000 – 20,000)	510,000	$\frac{1}{2} + \frac{1}{2}$
Cost of sales (W1)	(253,840)	12½ (W1)
Gross profit	256,160	
Other income (W6)	6,100	2½ (W6)
Distribution costs (15,000 + 12,000)	(27,000)	$\frac{1}{2}$
Administrative expenses (55,000 + 50,000 – 6,000 (management charge))	(99,000)	$\frac{1}{2} + \frac{1}{2}$
Finance costs (30,000 + 28,000)	(58,000)	$\frac{1}{2}$
Other expenses	(1,000)	$\frac{1}{2}$
Profit before tax	77,260	
Income tax expense (W7)	(17,700)	1½ (W7)
Profit for the year	59,560	
Other comprehensive income:		
Items that may be reclassified subsequently to profit or loss:		
Cash flow hedges (W8)	29,300	1½ (W8)
Total comprehensive income for the year	88,860	
Profit for the year attributable to:		
Shareholders of Alpha (balancing figure)	57,800	$\frac{1}{2}$
Non-controlling interest (W9)	1,760	2 (W9)
	59,560	
Total comprehensive income for the year attributable to:		
Shareholders of Alpha (88,860 – 1,760)	87,100	$\frac{1}{2}$
Non-controlling interest	1,760	$\frac{1}{2}$
	88,860	25

DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Cost of sales

	\$'000	
Alpha + Beta (130,500 + 132,000)	262,500	$\frac{1}{2}$
Intra-group purchases	(20,000)	$\frac{1}{2}$
Unrealised profit (25% x 3,200)	800	$\frac{1}{2}$
Fair value adjustments:		
Plant (18,000 x 1/6)	3,000	$\frac{1}{2}$
Patent (20,000 x 1/10)	2,000	$\frac{1}{2}$
Inventory	1,500	$\frac{1}{2}$
Impairment of goodwill (W2)	4,040	9½ (W2)
	253,840	12½

Working 2 – Impairment of Beta goodwill

	\$'000	
Net assets of Beta on 30 September 20X5 (W3)	210,400	3 (W3)
Grossed up goodwill (15,720 (W5) x 100/80)	19,650	4 (W5) + 1
	230,050	
Recoverable amount	(225,000)	$\frac{1}{2}$
So gross impairment equals	5,050	$\frac{1}{2}$
Only recognise group share (80%)	4,040	$\frac{1}{2}$
		9½
		⇒ W1

Marks

Working 3 – Net assets of Beta at 30 September 20X5

	\$'000	
Net assets of Beta per own financial statements (W4)	184,000	1½ (W4)
Closing fair value adjustments:		
Plant (18,000 x 5/6)	15,000	½
Patent (20,000 x 9/10)	18,000	½
Related deferred tax (20% x (15,000 + 18,000))	(6,600)	½
Net assets of Beta per consolidated financial statements	210,400	3
		⇒ W2

Working 4 – Net assets of Beta per own financial statements

	\$'000	
Net assets at 30 September 20X4 (given)	180,000	½
Profit for the year to 30 September 20X5 per own financial statements	14,000	½
Dividend paid during the year ended 30 September 20X5	(10,000)	½
Net assets at 30 September 20X5	184,000	1½
		⇒ W3

Working 5 – Goodwill of Beta

	\$'000	\$'000	
Cost of investment:			
Immediate cash payment		185,000	½
Non-controlling interest at the date of acquisition:			
20% x 211,600 (see below)		42,320	½ + ½
Net assets at the date of acquisition:			
As per financial statements of Beta	180,000		½
Fair value adjustments:			
PPE	18,000		½
Patent	20,000		½
Inventory	1,500		½
Related deferred tax (20% x (18,000 + 20,000 + 1,500))	(7,900)		½
		(211,600)	
		15,720	4
			⇒ W2

Working 6 – Other income

	\$'000	
Alpha + Beta	20,000	½
Dividend received by Alpha from Beta (10,000 x 80%)	(8,000)	½
Management charge from Alpha to Beta	(6,000)	½
Ineffective portion of cash flow hedge on Contract A (5,600 – 5,500)	100	1
	6,100	2½

Working 7 – Income tax expense

	\$'000	
Alpha + Beta	19,000	½
Deferred tax on fair value adjustments (20% x (3,000 + 2,000 + 1,500 (W1)))	(1,300)	1
	17,700	1½

Working 8 – Cash flow hedges

	\$'000	
Alpha – per draft financial statements	18,000	½
Gain on effective portion of hedging derivative for commitment due on:		
Contract A	5,500	½
Contract B	5,800	½
	29,300	1½

Tutorial note: The portion of the gain or loss on the derivative contract which is effective (up to the value of the loss or gain on the future commitment cash flow) is recognised in other comprehensive income (cash flow hedge reserve). Any excess which is ineffective is recognised immediately in profit or loss (other income) – Contract A (\$5,600 – \$5,500 = \$100 (W6)).

Working 9 – Non-controlling interest

	\$'000	
Profit of Beta – per draft financial statements	14,000	½
Fair value adjustments to profit before tax (3,000 + 2,000 + 1,500 (W1))	(6,500)	½
Related deferred tax (20%)	1,300	½
	<u>8,800</u>	
Non-controlling interest (20%)	<u>1,760</u>	½
		<u>2</u>

2 (a) (i) Disposal of subsidiary

Under the principles of IFRS 5 – *Non-current Assets Held for Sale and Discontinued Operations* – Subsidiary A will be regarded as a discontinued operation by the Gamma group. This is because subsidiary A is a component of the group which has been disposed of during the period and which represents a separate major line of the business for the group. Gamma is completely withdrawing from this sector.

1

IFRS 5 requires that the Gamma group discloses a **single amount** in the statement of profit or loss and other comprehensive income comprising the **post-tax profit or loss** of subsidiary A for **the period up to the date of disposal** and the **post-tax profit or loss on the disposal of subsidiary A**. This single amount is required to be **analysed in further detail** but this analysis **can be shown in the notes** to the financial statements.

3

(6 x ½ mark)

The post-tax profit or loss of subsidiary A for the year to the date of disposal will be **\$4.4 million** (\$6.6 million x 8/12). Given that subsidiary A was a **75%** subsidiary, \$1.1 million (\$4.4 million x 25%) of this amount will be attributed to the **non-controlling interests** in subsidiary A.

1 + ½ + ½

The consolidated post-tax profit on disposal will be \$16.9 million (W1).

5½ (W1)

The total amount to be shown as a discontinued operation will be \$21.3 million (\$4.4 million + \$16.9 million).

½

12

Working 1 – Profit on disposal of subsidiary A

	\$'000	
Disposal proceeds	75,000	½
Net assets at date of disposal (62,000 + 6,600 x 8/12 – 3,600)	(62,800)	½ + ½ + ½
Unimpaired goodwill at date of disposal (40,000 + 13,000 – 48,000)	(5,000)	½ + ½ + ½
Non-controlling interest at date of disposal (13,000 + 25% (62,800 – 48,000))	16,700	½ + 1
Tax payable by Gamma on the disposal	(7,000)	½
	<u>16,900</u>	<u>5½</u>

(ii) Construction of power plant

Although Gamma has **no** legal obligation to rectify the environmental damage caused by the construction of the power plant, under the principles of IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* – Gamma has a **constructive obligation** to rectify the damage. This is **because**, by its past actions, Gamma has created a valid expectation that it will do so at the end of the power plant's life.

½ + ½ + ½

Under the principles of IAS 37, the provision will be measured at the **present value** of the future expected payment. The amount will be **\$4.2 million** (\$20 million x 0.21 (W1)).

½ + 1 (W1)

As the date for payment of the liability approaches, the discount unwinds. The unwinding of the discount is shown as a finance cost in the consolidated statement of profit or loss for the year ended 30 September 20X5.

(principle) ½

The relevant finance cost in this case will be for seven months – from the date construction of the asset is complete.

(principle) ½

Therefore the finance cost for the year ended 30 September 20X5 will be \$196,000 (\$4.2 million x 8% x 7/12 (W1)).

1

The closing provision will be \$4,396,000 (\$4.2 million + \$196,000 (W1)). This will be shown as a non-current liability in the consolidated statement of financial position of Gamma as at 30 September 20X5.

½ (W1) + ½

Marks

Under the **principles** of IAS 16 – *Property, Plant and Equipment* – the initial obligation to rectify the environmental damage will be shown as part of the initial construction cost of the power plant. Therefore the total initial cost will be \$34.2 million (\$30 million + \$4.2 million (W2)).

½ + ½ (W2)

Under the principles of IAS 16, the power plant will be depreciated from the date it is ready for use, which in this case is 28 February 20X5. Therefore the depreciation charge for the year ended 30 September 20X5 will be shown as an expense in the consolidated statement of profit or loss of \$997,500 (\$34.2 million x 1/20 x 7/12 (W2)).

½ + ½ (W2)

The carrying amount of the power plant at 30 September 20X5 in the consolidated statement of financial position will be \$33,202,500 (W2) (\$34.2 million – \$997,500). This will be shown as a **non-current asset**.

½ + ½ (W2)

9

Working 1 – Provision

	\$	
PV of provision (\$20 million x 0.21)	4,200,000	1
Unwinding of discount (\$4.2 million x 8% x 7/12)	196,000	1
Closing provision at 30 September 20X5	4,396,000	½
		2½

Working 2 – Carrying amount of power plant

	\$	
Cost of construction	30,000,000	
Environmental damage provision (\$20 million x 0.21)	4,200,000	
	34,200,000	½
Depreciation (\$34,200,000 x 1/20 x 7/12)	(997,500)	½
Carrying amount at 30 September 20X5	33,202,500	½
		1½

- (b) The situation that the financial controller has been presented with means that the fundamental principles of **objectivity** (not to compromise professional judgements because of conflict of interest or undue influence) and **professional competence and due care** (acting diligently and in accordance with IFRS standards – in this case IAS 37) are under threat.

The discussion with the finance director means that the financial controller faces a **self-interest threat**. This is because the financial controller is due to receive a bonus based on the reported profit for the period. Therefore there is a potential inducement to prepare the financial statements in such a way that reported profit is maximised. Inclusion of an environmental provision would lead to a finance cost and additional depreciation, both of which would depress reported profits.

In addition to a self-interest threat, the financial controller would also face an **intimidation threat**. This is because the financial controller reports to the finance director and would therefore be accustomed to following his directives. It would be difficult to avoid doing this even if these directives were apparently in breach of fundamental ethical principles.

4

25

Note: Other relevant points re: the ethics of this situation, sensibly made, will receive credit.

3 Sale of machine

Under the principles of IFRS 15 – *Revenue from Contracts with Customers* – the sale of the machine comprises two performance obligations – the delivery of the machine and the provision of a three-year repair and maintenance service.

1

In the case of the delivery of the machine, the performance obligation is satisfied **fully on 1 April 20X5**, when the customer took **control** of the machine. Therefore **all the revenue attributable to the delivery of the machine** is recognised on that date.

½ + ½

The machine will be removed from the inventory of Delta on 1 April 20X5 and its cost (\$250,000) recognised in cost of sales.

½

Marks

In the case of the repair and maintenance service, the performance obligation is satisfied **over time** – in the **three-year period from 1 April 20X5 to 31 March 20X8**. IFRS 15 would require that this revenue is recognised over that three-year period.

½ + ½

It is clear from the total invoiced amount and the stand-alone selling prices of the two components of the transaction that the machine is being sold at a discount.

½

Where a bundle of goods and/or services are sold at a discount, IFRS 15 requires that, unless the discount is obviously attributable to one or more of the components of the bundle, the discount should be allocated to the components in proportion to their stand-alone selling prices.

1

Therefore the revenue from the delivery of the machine will be \$350,000 (W1) and the revenue from the maintenance and repair service will be \$150,000 (W1).

1 (W1) + ½ (W1)

The revenue from the delivery of the machine of \$350,000 (W1) will be recognised **in full** in the year ended 30 September 20X5.

½

The revenue which will be recognised in respect of the maintenance service will be \$25,000 (W2). The unrecognised revenue will be shown as a contract liability (as deferred income). \$50,000 (W2) of this liability will be a current liability and the balance of \$75,000 (W2) will be a non-current liability.

2½ (W2) +
1 (explanation)

The \$30,000 cost of repairing the machine in the six months ended 30 September 20X5 will be shown as an operating cost in the year ended 30 September 20X5 (probably under cost of sales).

½

Since the future expected repair costs to the machine are \$155,000 and the future revenue to be recognised under the repair and maintenance service is \$125,000, then under the principles of IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* – the contract has become an **onerous** contract.

½ + ½

Under the principles of IAS 37, Delta needs to make a **provision** at 30 September 20X5 for the **net cost** of fulfilling the service. The net cost of fulfilling the service is **\$30,000** (\$155,000 – \$125,000).

½ + ½

Since the net costs of the onerous contract are expected to accrue evenly over its remaining duration, the amount of the provision which will be shown as a current liability will be **\$12,000** (\$30,000 x 12/30). The balance of **\$18,000** (\$30,000 – \$12,000) will be non-current.

1

Marks available

14

Working 1 – Allocation of revenue between machine and maintenance and repair service

	\$	Allocation of transaction price (\$500,000)	
Stand-alone fair value of machine	420,000	420/600 x \$500,000 = \$350,000	1
Stand-alone fair value of maintenance and repair service	180,000	180/600 x \$500,000 = \$150,000	½
Total	600,000		1½

Working 2 – Recognition of revenue on repair and maintenance service

Total revenue (W1)		\$150,000	½
Amount recognised in the year ended 30 September 20X5	(6/36 x \$150,000)	\$25,000	½
Deferred income	(\$150,000 – \$25,000)	\$125,000	½
Current liability	(\$150,000 x 12/36)	\$50,000	½
Non-current liability	(balance)	\$75,000	½
			2½

Sale and leaseback

Because the factory is being leased back for only 10 of its 30 years of remaining useful life, the transaction would be regarded as a sale under the principles of IFRS 15.

1

Under the principles of IFRS 16 – *Leases* – the factory would be de-recognised by Delta and a 'right of use asset' recognised in its place.

(principle) 1

The initial carrying amount of the right of use asset will be a proportion of the previous carrying amount of the factory. This proportion will be the ratio of the present value of the lease payments compared with the fair value of the factory at the date of sale.

(principle) 1

The initial carrying amount of the right of use asset for Delta will therefore be \$8.95 million (\$20 million x \$13.42 million/\$30 million).

1

Delta will also recognise a lease liability of \$13.42 million.

1

Marks

The net result of derecognising the factory and recognising the right of use asset and the lease liability is that Delta will recognise a profit on sale of \$5.53 million** (\$30 million + \$8.95 million – \$20 million – \$13.42 million).

1½

The right of use asset will be depreciated over the 10-year lease term, so for the year ended 30 September 20X5 Delta will charge depreciation of \$895,000 (\$8.95 million x 1/10).

½ + ½

The closing carrying amount of the right of use asset will be \$8,055,000 (\$8.95 million – \$895,000). This will be shown as a non-current asset in Delta's statement of financial position.

½ + ½

Delta will recognise a finance cost of \$1,073,600 (W3). The closing lease liability will be \$12,493,600 (W3). \$1,000,512 (W3) of this liability will be a current liability and the balance of \$11,493,088 (W3) will be non-current (W3).

2½

11

25

****Tutorial note:**

*An alternative method of arriving at the profit on sale to be recognised is to calculate the **amount of any gain or loss** on the sale which relates to the **rights transferred** to the buyer.*

Step 1: Calculate the total gain = fair value – carrying amount = \$30 million – \$20 million = **\$10 million**

Step 2: Calculate the gain which relates to the **rights retained** = gain x present value of lease payments/fair value = \$10 million x \$13.42 million/\$30 million = \$4.47 million

Step 3: The gain relating to **rights transferred** is the balancing figure: Gain – gain on rights retained = \$10 million – \$4.47 million = \$5.53 million

So the relevant journal entry would be:

	DR \$ million	CR \$ million
Cash	30	
Right-of-use asset	8.95	
PPE		20
Lease liability		13.42
Gain on sale (to P/L)		5.53

Working 3 – Computation and split of closing lease liability

Year ended 30 September	Opening liability (PV) \$	Finance cost (8%) \$	Rental payment \$	Closing liability \$	
20X5	13,420,000	8% x 13,420,000 = 1,073,600	(2,000,000)	12,493,600	1
20X6	12,493,600	8% x 12,493,600 = 999,488	(2,000,000)	11,493,088	1

The current liability at 30 September 20X5 is \$1,000,512 (\$12,493,600 – \$11,493,088).

½

2½

4 Conceptual Framework

The *Conceptual Framework (Framework)* is a document which sets out the **objectives** and **concepts** for general purpose financial reporting. The *Framework* provides the foundations for the International Financial Reporting Standards (IFRS Standards) but it is not a standard itself.

1 + ½

These concepts are set out in a number of **distinct chapters** in the document. These chapters address issues **such as** the overall objective of general purpose financial reporting which is to provide financial information which is useful to existing and potential investors, lenders and other creditors. A further chapter details the qualitative characteristics of useful financial information. (*Other examples of chapter titles up to 1 mark would be acceptable – the question makes clear that only a general overview is needed*)

½ + 1

A key purpose of the *Framework* is to **assist the International Accounting Standards Board (the Board)** in **developing** and revising individual IFRS Standards which are based on consistent concepts. Therefore the **concepts underpinning any specific IFRS Standard should generally be consistent** with those outlined in the *Framework*.

½ + ½

The *Framework* does not override the provisions of any specific IFRS Standards. In the rare circumstances that the Board decided to issue a new or revised standard which is in conflict with the *Framework*, the Board would highlight the fact and explain the reasons for the departure in the Basis for Conclusions to the standard.

(up to) 2

A further purpose of the *Framework* is to help preparers to develop consistent accounting policies for areas which are **not covered by a IFRS Standard (e.g. cryptocurrency)** or where there is choice of accounting policy, and to **assist all parties to understand and interpret IFRS Standards**.

$\frac{1}{2} + \frac{1}{2}$
8

Brand names

A brand name is an intangible asset and so the recognition and measurement requirements are to be found in IAS 38 – *Intangible Assets*.

$\frac{1}{2}$

IAS 38 states that the recognition of brand names (and other intangible assets) in the statement of financial position depends on **how they arose**. Brand names which are **purchased** can be recognised as assets.

$\frac{1}{2} + \frac{1}{2}$

Where a brand name is purchased in an individual transaction, then the brand name can be recognised at its original purchase cost.

1

When a parent company acquires a subsidiary company, the purchase consideration needs to be allocated to the individual assets and liabilities which are to be included in the consolidated statement of financial position. Any amount of the consideration which cannot be allocated is presented as goodwill on acquisition.

(overall principle, however worded) 1

A brand name acquired as part of the acquisition of a subsidiary can be recognised as an asset in the consolidated financial statements if it is **identifiable**. This **means** that the asset is either capable of being sold separately or arises from contractual or other legal rights, regardless of whether or not these rights are transferable. This is **even if** it is not recognised in the individual financial statements of the subsidiary.

(sense of the point) $\frac{1}{2} + 1 + \frac{1}{2}$

Where a brand name associated with the acquisition of a subsidiary is regarded as identifiable, then it is initially recognised at its **fair value at the date of acquisition**.

$\frac{1}{2}$

The brand name associated with Omega itself (the parent company) is an internally developed intangible asset from the perspective of Omega.

(principle) $\frac{1}{2}$

Unless internally developed intangibles relate to the cost of developing a specific product or process, they cannot be recognised as assets because their 'cost' cannot be established reliably. This explains why brand names associated with acquired subsidiaries can be recognised in the consolidated financial statements but the Omega brand name cannot.

(sense of the point) 1 + (conclusion) $\frac{1}{2}$

Brand names which are recognised should be included as intangible assets and written off (amortised) over their estimated useful lives.

1

Where the useful lives of brand names are assessed as being **indefinite**, then **no** amortisation charge is necessary but the brand name needs to be reviewed for possible impairment at the end of **every** financial reporting period, **irrespective** of whether or not indicators of impairment are present.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

11

Segment reports

The issue of segmental disclosures is addressed in IFRS 8 – *Operating Segments*. IFRS 8 requires that segmental disclosures are made with reference to key operating segments of the business.

(overall sense of the point) 1

IFRS 8 says that an operating segment is one which **earns revenues** and incurs expenses, whose results are regularly reviewed by the **chief operating decision maker** and for which **discrete financial information** is available.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The term 'chief operating decision maker' is a role, not a manager with a specific title. The function is to assess performance and allocate resources. This role is often undertaken by the chief executive officer but there could be circumstances where the role is undertaken by a group of directors.

The segments which are reported are identified because:

- (i) They exceed quantitative thresholds set out in IFRS 8; and
- (ii) It will allow users of the financial statements to evaluate the nature of the business activities and the economic environment in which it operates (nature of the products, the production processes, type of customer, distribution methods, regulatory environment).

2

Given that different entities could organise themselves in different ways, the operating segments which are identified and reported could theoretically differ between apparently similar entities.

(conclusion) $\frac{1}{2}$

IFRS 8 only applies to listed entities, so a large unlisted family business would not be required to given segmental disclosures.

Marks
1
6
25